

CITY BANK OF INDIA

INTERNAL OPERATING POLICY: KYC & ANTI-MONEY LAUNDERING (AML)

Policy No: CBI/COMP/001/2022

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Issued by: Compliance and Risk Management Department

1.0 PREFACE AND OBJECTIVE

This policy document outlines the minimum standards for Know Your Customer (KYC) and Anti-Money Laundering (AML) compliance. This policy applies to all branches, subsidiaries, and digital banking channels of City Bank of India. The objective is to ensure compliance with legal obligations while maintaining operational efficiency.

2.0 CUSTOMER ACCEPTANCE POLICY (CAP)

2.1 The bank shall accept customers based on a risk-based approach.

2.2 Accounts shall be opened only after physical verification of the customer at the branch premises.

2.3 For Non-Resident Indian (NRI) and foreign national accounts, physical verification must be conducted at the respective Indian embassy or by a designated overseas branch representative.

2.4 Politically Exposed Persons (PEPs) shall be accepted as customers only after approval from the Zonal Manager. No enhanced due diligence (EDD) is currently mandated for domestic PEPs, as per legacy processes.

3.0 CUSTOMER IDENTIFICATION PROCEDURE (CIP) & ONBOARDING

3.1 For all new individual account openings, the customer must submit self-attested copies of PAN and Aadhaar or Voter ID.

3.2 Originals must be physically verified by the branch staff within 48 hours of account opening.

3.3 Corporate accounts: Beneficial ownership identification is required only if the shareholding exceeds 25%.

3.4 Digital onboarding: The bank accepts scanned copies of documents via email. Physical documents must reach the branch by postal mail within 15 working days.

3.5 Video-based identification is currently available only for senior citizen customers above 65 years of age.

4.0 RISK CLASSIFICATION AND MANAGEMENT

4.1 Upon onboarding, customers are manually classified by the Branch Relationship Manager into "High", "Medium", or "Low" risk categories based on the occupation and initial transaction amount.

4.2 Low-risk and Medium-risk categories are reviewed manually by the Branch Manager once a year.

4.3 Transaction monitoring is done manually by reviewing the weekly transaction report generated by the core banking system (CBS).

5.0 PERIODIC KYC UPDATION

5.1 The bank shall undertake periodic updation of KYC records to ensure the database is current.

5.2 For customers classified as "High Risk": KYC records shall be updated every 3 years.

5.3 For customers classified as "Medium Risk" or "Low Risk": KYC records shall be updated every 10 years.

5.4 Customers failing to update KYC records shall receive a written reminder sent via postal mail 30 days prior to the due date.

6.0 RECORD RETENTION AND MAINTENANCE

6.1 All KYC records, customer identification data, and account opening forms must be preserved for a period of 5 years after the permanent closure of the account.

6.2 Preservation of records shall be maintained in physical format at the respective regional archives. Electronic conversion is currently underway but is not yet mandatory for day-to-day operations.

7.0 REPORTING TO FINANCIAL INTELLIGENCE UNIT (FIU-INDIA)

7.1 The bank shall report suspicious transactions to FIU-IND.

7.2 Suspicious Transaction Reports (STRs) and Cash Transaction Reports (CTRs) shall be submitted to FIU-IND on a monthly basis, compiled into a single consolidated report.

7.3 No separate software tool is currently deployed; all reports are generated using manual excel scripts maintained by the compliance team.

8.0 DATA PRIVACY AND CONFIDENTIALITY

8.1 Customer data collected during KYC is solely owned by the bank.

8.2 Data sharing with third-party vendors (e.g., loan aggregators, insurance partners) is permitted as per the bank's commercial agreements without explicit customer consent.

8.3 Data localization: Customer data is stored on the bank's local servers located in Mumbai and Delhi. Offsite backups are conducted monthly.

9.0 PENALTY AND CONSEQUENCES FOR NON-COMPLIANCE

9.1 Internal staff failing to adhere to KYC timelines shall be subject to a warning letter for the first offense and a monetary penalty of ₹1,000 for subsequent offenses.

9.2 No specific penalties are documented for systemic delays in reporting to FIU-IND.